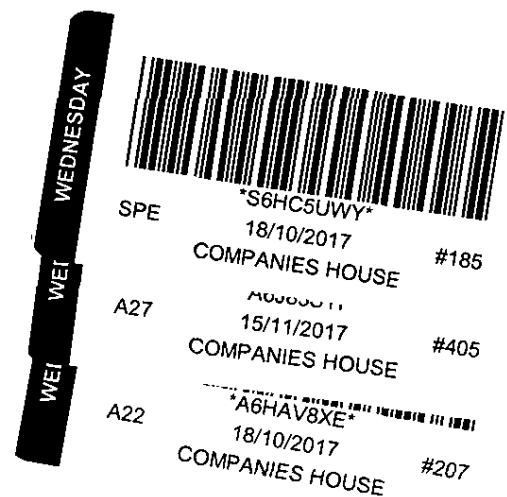


Alpha FMC Topco Limited

**Annual report and consolidated
financial statements**

Registered number 09965297

31 March 2017



Contents

Company information	1
Strategic report	2
Directors' report	3
Statement of directors' responsibilities in respect of the strategic report, the directors' report and the financial statements	5
Independent auditor's report to the members of Alpha FMC Topco Limited	6
Consolidated profit and loss account and other comprehensive income	7
Consolidated balance sheet	8
Company balance sheet	9
Consolidated statement of changes in equity	10
Company statement of changes in equity	11
Consolidated cash flow statement	12
Notes	13

Company information

Directors

MM Ligertwood
A Davidson
ENB Fraser
NB Baker
THS Trotter
NR Kent

Company number

09965297

Registered office

60 Gresham Street
London
EC2V 7BB

Auditor

KPMG LLP
St Nicholas House
Park Row
Nottingham
NG1 6FQ

Bankers

Lloyds Bank Plc
10 Gresham Street
London
EC2V 7AE

Beechbrook Capital LLP
First Floor
9 Orange Street
London
WC2H 7EA

HSBC Bank USA
National Association Business Banking
354 6th Avenue
New York
NY 10011

Rabobank Nedderland
Groeselaan 18
Utrecht
3500 HG
Netherlands

Credit Suisse AG
Rue de la Monnaie 1-3
1204 Geneve
Switzerland

Strategic report

Business review

The Group showed strong performance during its first period since incorporation and following the acquisition of Alpha FMC Group Holdings Limited on 3 February 2016, with turnover of £49,240,000 and gross profit of £16,724,000. The acquisition was primarily funded by shareholder loans and external loans of £28,000,000. The company must satisfy specific covenant requirements on a quarterly basis. The forecasts prepared show that the Group will continue to satisfy these covenant requirements for the foreseeable future. New entities in both Switzerland and Singapore were incorporated during the period.

Future developments

The business plan developed by the directors shows strong growth is expected to continue in the forthcoming year. The directors are confident of achieving their plan based on the level of on-going work at the start of the financial year, the level of work already sold but still to be delivered and the strong pipeline of future opportunities. The conditions of the markets in which the company operates are good and show signs of increasing activity. Both geographical and sector expansion will be investigated in the coming years to augment the growth expected in the existing businesses.

Key performance indicators

The directors monitor performance on both a weekly and a monthly basis using a range of financial and non-financial indicators. Working capital management is the primary indicator which is reviewed on a weekly basis to monitor cash flow, liquidity and the recovery of trade debtors.

Each month the directors review the management accounts for each group undertaking and compare actual performance against budget. Costs are also reviewed to monitor profitability.

Principal risks

The performance of the group is subject to only limited risk in the short and medium term as the future pipeline of work is very strong. The group continues to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth in the business. Management continues to operate conservative cash management policies.

At the Balance Sheet date the value of trade debtors was £9,444,000. There are no material concerns over the recoverability of debtors although a small bad debt provision has been included in the accounts to mitigate potential risk.

By order of the board



ENB Fraser
Director

3 August 2017

Directors' report

The directors present their report and the audited financial statements for the group for the period ended 31 March 2017.

Company incorporation and change of accounting reference date

The company was incorporated on 22 January 2016 as Caelius Topco Limited and changed its name to Alpha FMC Topco Limited on 23 November 2016. During the period the company changed its accounting reference date to 31 March making this a 14 month period.

Principal activities and review of the business

The principal activity of the company is that of a holding company.

On 3 February 2016, the Group acquired 100% of the ordinary shares in Alpha FMC Group Holdings Limited. The principal activity of the Group is the provision of consulting and related services to clients in the asset and wealth management industries.

Results and dividends

The results for the period are set out in the attached profit and loss account on page 7.

No dividend was paid in the period. The directors do not recommend payment of a final dividend.

After deducting taxation and after exchange adjustments, a loss of £8,899,000 has been transferred to reserves.

Directors

The following directors have held office during the period and to the date of this report.

Mr MM Ligertwood	(appointed on incorporation)
A Davidson	(appointed 28 January 2016)
ENB Fraser	(appointed 3 February 2016)
NB Baker	(appointed 3 February 2016)
THS Trotter	(appointed 3 February 2016)
NR Kent	(appointed 3 February 2016)

Political contributions

Neither the Company nor any of its subsidiaries made any political donations or incurred any political expenditure during the year.

Statement of disclosure to the auditor

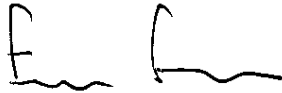
So far as the directors are aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, the directors have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

Directors' report *(continued)*

Auditor

KPMG LLP was appointed first auditor of the company by the directors. Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the board



ENB Fraser
Director

60 Gresham Street
London
EC2V 7BB

3 August 2017

Statement of directors' responsibilities in respect of the strategic report, the directors' report and the financial statements

The directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the group and parent company financial statements in accordance with UK Accounting Standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and parent company and of their profit or loss for that period. In preparing each of the group and parent company financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the group and the parent company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the parent company's transactions and disclose with reasonable accuracy at any time the financial position of the parent company and enable them to ensure that its financial statements comply with the Companies Act 2006. They have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the group and to prevent and detect fraud and other irregularities.



Independent auditor's report to the members of Alpha FMC Topco Limited

We have audited the financial statements of Alpha FMC Topco Limited for the period from 22 January 2016 (the date of incorporation) to 31 March 2017 set out on pages 7 to 31. The financial reporting framework that has been applied in their preparation is applicable law and UK Accounting Standards (UK Generally Accepted Accounting Practice), including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland.

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditor

As explained more fully in the Directors' Responsibilities Statement set out on page 5, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit, and express an opinion on, the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements

A description of the scope of an audit of financial statements is provided on the Financial Reporting Council's website at www.frc.org.uk/auditscopeukprivate.

Opinion on financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the group's and of the parent company's affairs as at 31 March 2017 and of the group's loss for the period then ended;
- have been properly prepared in accordance with UK Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matters prescribed by the Companies Act 2006

In our opinion the information given in the Strategic Report and the Directors' Report for the financial period for which the financial statements are prepared is consistent with the financial statements.

Based solely on the work required to be undertaken in the course of the audit of the financial statements and from reading the Strategic report and the Directors' report:

- we have not identified material misstatements in those reports; and
- in our opinion, those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Mark Flanagan (Senior Statutory Auditor)

for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
St Nicholas House
Park Row
Nottingham
NG1 6FQ

Dated: 3 August 2017

Consolidated profit and loss account and other comprehensive income
for period ended 31 March 2017

	<i>Note</i>	2017 £000
Turnover	3	49,240
Cost of sales		(32,516)
Gross profit		16,724
Administrative expenses	4	(17,503)
Group operating loss		(779)
Other interest receivable and similar income	7	5
Interest payable and similar expenses	8	(7,880)
Loss before taxation		(8,654)
Tax on loss	9	(23)
Loss for the financial period		(8,677)
Other comprehensive income		
Foreign exchange differences on translation of foreign operations		(222)
Other comprehensive income for the period, net of income tax		(8,899)

The results for the period relate to the acquisition as described in note 2.

As permitted by section 408 of the Companies Act 2006, a separate profit and loss account of the parent company has not been presented. The parent company's loss for the financial period is £1,266,000.

The attached notes form part of these financial statements.

Consolidated balance sheet
at 31 March 2017

	<i>Note</i>	2017	£000
Fixed assets			
Goodwill	<i>10</i>		47,261
Other intangibles	<i>10</i>		23,213
Tangible assets	<i>11</i>		451
			70,925
Current assets			
Debtors (including £nil due after more than one year)	<i>13</i>	12,088	
Cash at bank and in hand	<i>14</i>	8,023	
		20,111	
Creditors: amounts falling due within one year	<i>15</i>	(10,024)	
Net current assets			10,087
Total assets less current liabilities			81,012
Creditors: amounts falling due after more than one year	<i>16</i>		(85,879)
Deferred tax provision	<i>18</i>		(3,946)
Net liabilities			(8,813)
Capital and reserves			
Called up share capital	<i>19</i>		-
Share premium account	<i>19</i>		86
Foreign exchange reserve			(222)
Profit and loss account			(8,677)
Shareholders' deficit			(8,813)

The attached notes form part of these financial statements.

These financial statements were approved by the board of directors on 3 August 2017 and were signed on its behalf by:



ENB Fraser
Director

Company registered number: 09965297

Company balance sheet
at 31 March 2017

	<i>Note</i>	2017 £000	£000
Fixed assets			
Investments	<i>12</i>		1,338
Current assets			
Debtors (including £nil due after more than one year)	<i>13</i>	12,416	
Creditors: amounts falling due within one year	<i>15</i>	(193)	
Net current assets			12,223
Total assets less current liabilities			13,561
Creditors: amounts falling due after more than one year	<i>16</i>		(14,741)
Net liabilities			(1,180)
Capital and reserves			
Called up share capital	<i>19</i>		-
Share premium account	<i>19</i>		86
Profit and loss account			(1,266)
Shareholders' deficit			(1,180)

These financial statements were approved by the board of directors on 3 August 2017 and were signed on its behalf by:

The attached notes form part of these financial statements.



ENB Fraser
Director

Company registered number: 09965297

Consolidated statement of changes in equity

	Called up share capital £000	Share premium account £000	Foreign Exchange reserve £000	Profit and loss account £000	Total Share- holders' equity £000
Balance at 22 January 2016	-	-	-	-	-
Total comprehensive income for the period					
Profit or loss	-	-	-	(8,677)	(8,677)
<i>Other comprehensive income</i>					
Foreign exchange differences on translation of foreign operations	-	-	(222)		(222)
Total comprehensive income for the period	-	-	(222)	(8,677)	(8,899)
Transactions with owners, recorded directly in equity					
Issue of share capital	-	86	-	-	86
Total contributions by and distributions to owners	-	86	-	-	86
Balance at 31 March 2017	-	86	(222)	(8,677)	(8,813)
Set aside for dividends declared after the reporting period				-	-
Total				(8,677)	(8,813)

Company statement of changes in equity

	Called up share capital £000	Share premium account £000	Profit and loss account £000	Total equity £000
Balance at 22 January 2016	-	-	-	-
Total comprehensive income for the period				
Profit or loss	-	-	(1,266)	(1,266)
Total comprehensive income for the period	-	-	(1,266)	(1,266)
Transactions with owners, recorded directly in equity				
Issue of share capital	-	86	-	86
Total contributions by and distributions to owners	-	86	-	86
Balance at 31 March 2017	-	86	(1,266)	(1,180)
Set aside for dividends declared after the reporting period				-
Total				(1,180)

Consolidated cash flow statement
for period ended 31 March 2017

	<i>Note</i>	2017 £000
Cash flows from operating activities		
Loss for the period		(8,677)
Adjustments for:		
Depreciation, amortisation and impairment	10,11	9,019
Foreign exchange losses		759
Interest receivable and similar income	7	(5)
Interest payable and similar expenses	8	7,880
Taxation	9	23
		8,999
Increase in trade and other debtors		(1,644)
Increase in trade and other creditors		970
		8,325
Tax paid		(1,193)
		7,132
Net cash from operating activities		
Cash flows from investing activities		
Interest received		5
Acquisition of a subsidiary	2	(79,764)
Acquisition of tangible fixed assets	11	(199)
		(79,958)
Net cash from investing activities		
Cash flows from financing activities		
Interest paid		(1,431)
Repayment of borrowings		(1,540)
Repayment of preference shares		(95)
New borrowings		83,829
Issue of ordinary share capital		86
		80,849
Net cash from financing activities		
Net increase in cash and cash equivalents		8,023
Cash and cash equivalents at 22 January 2016		-
		8,023
Cash and cash equivalents at 31 March 2017		8,023

Notes

(forming part of the financial statements)

1 Accounting policies

Alpha FMC Topco Limited (the “Company”) is a company limited by shares and incorporated and domiciled in the UK. The registered number is 09965297 and the registered address is 60 Gresham Street, London, EC2V 7BB. The company was incorporated on 22 January 2016.

These Group and parent company financial statements were prepared in accordance with Financial Reporting Standard 102 *The Financial Reporting Standard* applicable in the UK and Republic of Ireland (“FRS 102”) as issued in August 2014. The amendments to FRS 102 issued in July 2016 and effective immediately have been applied. The presentation currency of these financial statements is sterling. All amounts in the financial statements have been rounded to the nearest £1,000.

The parent company is included in the consolidated financial statements, and is considered to be a qualifying entity under FRS 102 paragraphs 1.8 to 1.12. The following exemptions available under FRS 102 in respect of certain disclosures for the parent company financial statements have been applied:

- The reconciliation of the number of shares outstanding from the beginning to the end of the period has not been included a second time;
- No separate parent company Cash Flow Statement with related notes is included; and
- Key Management Personnel compensation has not been included a second time; and
- The disclosures required by FRS 102.11 Basic Financial Instruments and FRS 102.12 Other Financial Instrument Issues in respect of financial instruments not falling within the fair value accounting rules of Paragraph 36(4) of Schedule 1.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements. The Company proposes to continue to adopt the reduced disclosure framework of FRS 102 in its next financial statements.

Judgements made by the directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year are discussed in note 24.

1.1. Measurement convention

The financial statements are prepared on the historical cost basis.

1.2. Going concern

The group’s business activities, together with the factors likely to affect its future development, performance and position are set out in the Strategic report. The Group’s forecasts and projections, taking into account reasonably possible changes in trading performance, show that the Group should be able to operate with its currently available facilities. The Group has sufficient financial resources together with assets that are expected to generate cash flow in the normal course of business. As a consequence the Directors have a reasonable expectation that the Company and the Group are well placed to manage their business risks and to continue in operational existence for the foreseeable future. Accordingly, the Directors have adopted the going concern basis in preparing these financial statements.

Notes (continued)

1 Accounting policies (continued)

1.3. Basis of consolidation

The consolidated financial statements include the financial statements of the Company and its subsidiary undertakings made up to 31 March 2017. A subsidiary is an entity that is controlled by the parent. The results of subsidiary undertakings are included in the consolidated profit and loss account from the date that control commences until the date that control ceases. Control is established when the Company has the power to govern the operating and financial policies of an entity so as to obtain benefits from its activities. In assessing control, the Group takes into consideration potential voting rights that are currently exercisable.

Under Section 408 of the Companies Act 2006 the Company is exempt from the requirement to present its own profit and loss account.

In the parent financial statements, investments in subsidiaries are carried at cost less impairment.

1.4. Foreign currency

Transactions in foreign currencies are translated to the Group companies' functional currency at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Foreign exchange differences arising on translation are recognised in the profit and loss account.

The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on consolidation, are translated to the Group's presentational currency, Sterling, at foreign exchange rates ruling at the balance sheet date. The revenues and expenses of foreign operations are translated at an average rate for the period where this rate approximates to the foreign exchange rates ruling at the dates of the transactions. Foreign exchange differences arising on retranslation are recognised in other comprehensive income.

1.5. Classification of financial instruments issued by the group

In accordance with FRS 102.22, financial instruments issued by the group are treated as equity only to the extent that they meet the following two conditions:

- (a) they include no contractual obligations upon the group to deliver cash or other financial assets or to exchange financial assets or financial liabilities with another party under conditions that are potentially unfavourable to the group; and
- (b) where the instrument will or may be settled in the entity's own equity instruments, it is either a non-derivative that includes no obligation to deliver a variable number of the entity's own equity instruments or is a derivative that will be settled by the entity exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

To the extent that this definition is not met, the proceeds of issue are classified as a financial liability. Where the instrument so classified takes the legal form of the entity's own shares, the amounts presented in these financial statements for called up share capital and share premium account exclude amounts in relation to those shares.

Notes *(continued)*

1 Accounting policies *(continued)*

1.6. Basic financial instruments

Trade and other debtors / creditors

Trade and other debtors are recognised initially at transaction price less attributable transaction costs. Trade and other creditors are recognised initially at transaction price plus attributable transaction costs. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses in the case of trade debtors. If the arrangement constitutes a financing transaction, for example if payment is deferred beyond normal business terms, then it is measured at the present value of future payments discounted at a market rate of instrument for a similar debt instrument.

Interest-bearing borrowings classified as basic financial instruments

Interest-bearing borrowings are recognised initially at the present value of future payments discounted at a market rate of interest. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits. Bank overdrafts that are repayable on demand and form an integral part of the Company's cash management are included as a component of cash and cash equivalents for the purpose only of the cash flow statement.

1.7. Tangible fixed assets

Tangible fixed assets are stated at cost less accumulated depreciation and accumulated impairment losses.

The company assesses at each reporting date whether tangible fixed assets are impaired.

Depreciation is charged to the profit and loss account on a straight-line basis over the estimated useful lives of each part of an item of tangible fixed assets. The estimated useful lives are as follows:

Leasehold Land and buildings	over the lease term
Computer equipment	3-5 years straight line
Fixtures, fittings and equipment	4 years straight line

Depreciation methods, useful lives and residual values are reviewed if there is an indication of a significant change since last annual reporting date in the pattern by which the company expects to consume an asset's future economic benefits.

1.8. Business combinations

Business combinations are accounted for using the purchase method as at the acquisition date, which is the date on which control is transferred to the entity.

At the acquisition date, the group recognises goodwill at the acquisition date as:

- the fair value of the consideration (excluding contingent consideration) transferred; plus
- the fair value of the equity instruments issued; plus
- directly attributable transaction costs; less
- the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities and contingent liabilities assumed.

Notes (continued)

1 Accounting policies (continued)

1.9. Intangible assets and goodwill

Goodwill

Goodwill is stated at cost less any accumulated amortisation and accumulated impairment losses. Goodwill is allocated to cash-generating units or group of cash-generating units that are expected to benefit from the synergies of the business combination from which it arose.

Amortisation

Amortisation is charged to the profit or loss on a straight-line basis over the estimated useful lives of intangible assets. Intangible assets are amortised from the date they are available for use.

Goodwill is amortised on a straight line basis over its useful life. Goodwill has no residual value. The finite useful life of goodwill is estimated to be 10 years.

Customer relationships	- 12 years straight line
Trade name	- 15 years straight line
Intellectual property	- 7 years straight line

The company reviews the amortisation period and method when events and circumstances indicate that the useful life may have changed since the last reporting date.

Goodwill and other intangible assets are tested for impairment in accordance with Section 27 Impairment of assets when there is an indication that goodwill or an intangible asset may be impaired.

1.10. Impairment excluding deferred tax assets

Financial assets (including trade and other debtors)

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimated future cash flows of that asset that can be estimated reliably.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment an impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impaired asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

Non-financial assets

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the "cash-generating unit"). The goodwill acquired in a business combination, for the purpose of impairment testing is allocated to cash-generating units, or ("CGU") that are expected to benefit from the synergies of the combination. For the purpose of goodwill impairment testing, if goodwill cannot be allocated to individual CGUs or groups of CGUs on a non-arbitrary basis, the impairment of goodwill is determined using the recoverable amount of the acquired entity in its entirety, or if it has been integrated then the entire group of entities into which it has been integrated.

Notes (continued)

1 Accounting policies (continued)

1.10. Impairment including deferred tax assets (continued)

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit (group of units) on a *pro rata* basis.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply. An impairment loss recognised for goodwill is not reversed.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.11. Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the company pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the profit and loss account in the periods during which services are rendered by employees.

1.12. Turnover

Turnover represents amounts receivable for consultancy services, net of VAT. Turnover is recognised upon delivery of the service and any work carried out but not billed is recognised as accrued income.

1.13. Expenses

Operating lease

Payments (excluding costs for services and insurance) made under operating leases are recognised in the profit and loss account on a straight-line basis over the term of the lease unless the payments to the lessor are structured to increase in line with expected general inflation; in which case the payments related to the structured increases are recognised as incurred. Lease incentives received are recognised in profit and loss over the term of the lease as an integral part of the total lease expense.

Interest receivable and interest payable

Interest income and interest payable are recognised in profit or loss as they accrue, using the effective interest method.

1.14. Taxation

Tax on the profit or loss for the period comprises current and deferred tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the period, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided on timing differences which arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in the financial statements. The following timing differences are not provided for: differences between accumulated depreciation and tax allowances for the cost of a fixed asset if and when all conditions for retaining the tax allowances have been met; and differences relating to investments in subsidiaries to the extent that it is not probable that they will reverse in the foreseeable future and the reporting entity is able to control the reversal of the timing difference. Deferred tax is not recognised on permanent differences arising because certain types of income or expense are non-taxable or are disallowable for tax or because certain tax charges or allowances are greater or smaller than the corresponding income or expense.

Notes (continued)

1 Accounting policies (continued)

1.14. Taxation (continued)

Deferred tax is provided in respect of the additional tax that will be paid or avoided on differences between the amount at which an asset (other than goodwill) or liability is recognised in a business combination and the corresponding amount that can be deducted or assessed for tax. Goodwill is adjusted by the amount of such deferred tax.

Deferred tax is measured at the tax rate that is expected to apply to the reversal of the related difference, using tax rates enacted or substantively enacted at the balance sheet date. Deferred tax balances are not discounted.

Unrelieved tax losses and other deferred tax assets are recognised only to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

2 Acquisitions and disposal of businesses

Acquisitions in the current period

On 3 February 2016, the Group acquired 100% of the ordinary shares in Alpha FMC Group Holdings Limited for £85,669,000. This amount included £48,907,000 satisfied by cash, settlement of existing debt of £33,045,000, the issue of equity of £93,000, and acquisition costs of £3,624,000 (of which £1,460,000 were directly related to the business combination and £2,164,000 were related to the raising of loan financing). Consequently, the cashflow associated with the acquisition, net of cash acquired of £5,905,000, was £79,764,000. This acquisition has been accounted for under the acquisition method of accounting. The resulting goodwill of £53,503,000 was capitalised and will be amortised over 10 years, being the period which reflects the directors' estimate of its useful economic life. The table below sets out the book and fair values of the identifiable assets and liabilities acquired.

Effect of acquisition

The acquisition had the following effect on the Group's assets and liabilities.

	Book values	Fair value adjustments	Recognised values on acquisition £000
Acquiree's net assets at the acquisition date:			
Goodwill	24,765	(24,765)	-
Tangible fixed assets	541	-	541
Intangible assets	-	25,701	25,701
Trade and other debtors	10,443	-	10,443
Cash	5,905	-	5,905
Interest-bearing loans and borrowings	(33,045)	-	(33,045)
Trade and other creditors	(7,448)	-	(7,448)
Deferred tax liabilities	-	(5,140)	(5,140)
Net identifiable assets and liabilities acquired	1,161	(4,204)	(3,043)
Initial cash consideration relating to business combination			48,907
Equity instruments issued			93
Costs directly attributable to the business combination			1,460
Total consideration			50,460
Goodwill on acquisition			53,503

The fair value adjustments relate to the identification of separately identifiable intangibles, the reversal of the goodwill already recognised in the acquired group on consolidation and deferred tax on the fair values of the intangibles. For the remaining assets and liabilities acquired no fair value adjustments were identified.

Notes (continued)

3 Turnover

	2017 £000
Rendering of services	49,240
Total turnover	49,240
	£000
<i>By activity</i>	
Management consulting	49,240
<i>By geographical market</i>	
United Kingdom	28,825
Europe	12,454
Rest of the World	7,961
	49,240

4 Auditor's remuneration

Auditor's remuneration:

	2017 £000
Audit of these financial statements	25
Amounts receivable by the company's auditor and its associates in respect of:	
Audit of financial statements of subsidiaries of the company	33
Taxation compliance services	24
Other tax advisory services	48
Other assurance services	12

Notes (continued)

5 Staff numbers and costs

The average number of persons employed by the Group (including directors) during the period, analysed by category, was as follows:

	Number of employees 2017
Administrative	16
Sales	169
	185

The aggregate payroll costs of these persons were as follows:

	2017 £000
Wages and salaries	22,413
Social security costs	2,949
Contributions to defined contribution plans	202
	25,564

6 Directors' remuneration

	2017 £000
Directors' remuneration	6,957
Company contributions to money purchase pension plans	51

The aggregate of remuneration of the highest paid director was £470,000, and company pension contributions of £4,000 were made to a money purchase scheme on his behalf.

	Number of directors 2017
Retirement benefits are accruing to the following number of directors under Money purchase schemes	4

7 Other interest receivable and similar income

	2017 £000
Bank Interest	5
	5

Notes (continued)

8 Interest payable and similar expenses

	2017 £000
On bank loans and overdraft	2,363
Shareholder and management loan note interest	5,075
Amortisation of issue costs of loan notes	442
	7,880

9 Taxation

Total tax expense recognised in the profit and loss account

	2017 £000	£000
<i>Current tax</i>		
Current tax on income for the period		385
<i>Foreign tax:</i>		
Current tax on income in the period		832
		1,217
Total current tax		
<i>Deferred tax (note 18)</i>		
Origination and reversal of timing differences	(423)	
Change in tax rate	(771)	
	(1,194)	
Total deferred tax		(1,194)
		23
Total tax charge		

	£000	2017 £000	£000
	Current tax	Deferred tax	Total tax
Recognised in profit and loss account	1,217	(1,194)	23
	1,217	(1,194)	23
Total tax			

Notes (continued)

9 Taxation (continued)

Analysis of current tax recognised in profit and loss

	2017
	£000
UK corporation tax	11
Foreign tax	12
	23

Reconciliation of effective tax rate

	2017
	£000
Loss for the period	(8,677)
Total tax expense	23
Loss excluding taxation	(8,654)
Tax using the UK corporation tax rate of 20%	(1,731)
Reduction in tax rate on deferred tax balances	(771)
Non-deductible expenses	2,023
Foreign tax adjustments	502
Total tax expense included in profit or loss	23

Reductions in the UK corporation tax rate to 19% (effective from 1 April 2017) and to 18% (effective 1 April 2020) were substantively enacted on 26 October 2015, and an additional reduction to 17% (effective from 1 April 2020) was substantively enacted on 6 September 2016. This will reduce the company's future tax charge accordingly. The deferred tax assets and liabilities at 31 March 2017 have been calculated based on the rates substantively enacted at the balance sheet date.

Notes (continued)

10 Intangible assets and goodwill

<i>Group</i>	Goodwill £000	Customer relationship £000	Intellectual property £000	Trade name £000	Total £000
Cost					
Balance on incorporation	-	-	-	-	-
Acquisitions through business combinations	53,503	18,650	1,421	5,630	79,204
Balance at 31 March 2017	53,503	18,650	1,421	5,630	79,204
Amortisation and impairment					
Balance on incorporation	-	-	-	-	-
Amortisation for the period	6,242	1,813	237	438	8,730
Balance at 31 March 2017	6,242	1,813	237	438	8,730
Net book value At 31 March 2017	47,261	16,837	1,184	5,192	70,474
On incorporation	-	-	-	-	-

Amortisation charge

The amortisation charge is recognised in the following line items in the profit and loss account:

	2017 £000
Administrative expenses	8,730

Impairment loss and subsequent reversal

There were no impairment losses and reversals in the period.

Notes (continued)

11 Tangible fixed assets

<i>Group</i>	Leasehold improvements £000	Fixtures, fittings and equipment £000	Computer equipment £000	Total £000
Cost				
Balance on incorporation	-	-	-	-
Acquisitions through business combinations	129	373	39	541
Additions	-	127	72	199
Disposals	-	-	-	-
Balance at 31 March 2017	129	500	111	740
Depreciation and impairment				
Balance on incorporation	-	-	-	-
Depreciation charge for the period	36	156	97	289
Disposals	-	-	-	-
Balance at 31 March 2017	36	156	97	289
Net book value				
At 31 March 2017	93	344	14	451
On incorporation	-	-	-	-

The company owns no fixed assets. There are no assets held on finance leases.

12 Fixed asset investments

<i>Company</i>	Interest in group undertakings £000
Cost	
On incorporation	-
Additions	1,338
Disposals	-
At end of period	1,338
Provisions	
On incorporation	-
Provided in period	-
Disposals	-
At end of period	-
Net book value	
At 31 March 2017	1,338
On incorporation	-

Notes (continued)

12 Fixed asset investments (continued)

The undertakings in which the Group's and Company's interest at the period end is more than 20% are as follows.

	Country of incorporation	Registered address	Principal activity	Group	Class and percentage of shares held Company
Subsidiary undertakings					
Alpha FMC Midco Limited	UK	60 Gresham Street, London, EC2V 7BB	Intermediate holding company	-	100% ordinary
Alpha FMC Midco 2 Limited	UK	60 Gresham Street, London, EC2V 7BB	Intermediate holding company	100% ordinary	-
Alpha FMC Bidco Limited	UK	60 Gresham Street, London, EC2V 7BB	Intermediate holding company	100% ordinary	-
Alpha FMC Group Holdings Limited	UK	60 Gresham Street, London, EC2V 7BB	Intermediate holding company	100% ordinary	-
Alpha FMC Group Limited	UK	60 Gresham Street, London, EC2V 7BB	Intermediate holding company	100% ordinary	-
Alpha FMC Group Nominees Limited	UK	60 Gresham Street, London, EC2V 7BB	Group services	100% ordinary	-
Alpha Financial Markets Consulting Group Limited	UK	60 Gresham Street, London, EC2V 7BB	Intermediate holding company	100% ordinary	-
Alpha Financial Markets Consulting Limited	UK	60 Gresham Street, London, EC2V 7BB	Consultancy services to asset/wealth management industry	100% ordinary	-
Alpha Financial Markets Consulting (France) SA	France	6 Square de l'Opéra Louis Jouvet, 75009 Paris, France	Consultancy services to asset/wealth management industry	100% ordinary	-
Alpha Financial Markets Consulting Inc	USA	400 Madison Avenue, New York, NY 10017	Consultancy services to asset/wealth management industry	100% ordinary	-
Alpha Financial Markets Consulting (Luxembourg) SARL	Luxembourg	19/21 route d'Arlon - bloc B, L-8009 Strassen, Luxembourg	Consultancy services to asset/wealth management industry	100% ordinary	-
Alpha Financial Markets Consulting Netherlands B.V.	Netherlands	Zuid-Hollandlaan 7, Den Haag, 2596 AL, The Netherlands	Consultancy services to asset/wealth management industry	100% ordinary	-
Alpha Financial Markets Consulting Singapore Pte. Limited	Singapore	16 Raffles Quay, 33-03 Hong Leong Building, Singapore (048581)	Consultancy services	100% ordinary	-
Alpha Financial Markets Consulting Switzerland S.A.	Switzerland	Rue du Rhône 14 – 1204 Geneva, Switzerland	Consultancy services	100% ordinary	-
Glass Client Programs Limited	UK	60 Gresham Street, London, EC2V 7BB	Dormant	100% ordinary	-
Alpha Technology Services Consulting Limited	UK	60 Gresham Street, London, EC2V 7BB	Dormant	100% ordinary	-

Notes (continued)

12 Fixed asset investments (continued)

	Share capital and reserves £000	Profit/(loss) for the period £000
<i>Subsidiary undertakings</i>		
Alpha FMC Midco Limited	(3,909)	(3,929)
Alpha FMC Midco 2 Limited	20	-
Alpha FMC Bidco Limited	(1,788)	(3,130)
Alpha FMC Group Holdings Limited	29,425	-
Alpha FMC Group Limited	15,961	(132)
Alpha FMC Group Nominees Limited	-	-
Alpha Financial Markets Consulting Group Limited	15,811	(2)
Alpha Financial Markets Consulting Limited	16,105	6,341
Alpha Financial Markets Consulting (France) SA	3,302	1,362
Alpha Financial Markets Consulting Inc	(1,321)	(567)
Alpha Financial Markets Consulting (Luxembourg) SARL	484	173
Alpha Financial Markets Consulting Netherlands B.V.	(137)	25
Alpha Financial Markets Consulting Singapore Pte. Limited	-	-
Alpha Financial Markets Consulting Switzerland S.A.	21	(17)
Glass Client Programs Limited	-	-
Alpha Technology Services Consulting Limited	-	-

13 Debtors

	Group 2017 £000	Company 2017 £000
Trade debtors	9,444	-
Amounts owed by group undertakings	-	12,413
Other debtors	454	3
Prepayments and accrued income	2,190	-
	12,088	12,416

14 Cash and cash equivalents/ bank overdrafts

	2017 £000
Cash at bank and in hand	8,023
Cash and cash equivalents per cash flow statements	8,023

Notes (continued)

15 Creditors: amounts falling due within one year

	Group 2017 £000	Company 2017 £000
Secured bank loans (note 17)	1,245	-
Trade creditors	1,334	-
Amounts owing to group undertakings	-	188
Taxation and social security	1,607	-
Corporation tax	209	-
Other creditors	196	4
Accruals and deferred income	5,433	1
	10,024	193

16 Creditors: amounts falling after more than one year

	Group 2017 £000	Company 2017 £000
Dunedin loan notes (note 17)	44,911	-
Bank loans and overdrafts (note 17)	24,815	-
Management loan notes (note 17)	14,806	13,394
Management preference shares (note 17)	1,347	1,347
	85,879	14,741

17 Interest-bearing loans and borrowings

This note provides information about the contractual terms of the Group's and parent Company's interest-bearing loans and borrowings, which are measured at amortised cost and presented net of capitalised loan arrangement fees.

	Group 2017 £000	Company 2017 £000
Creditors falling due within less than one year		
Secured bank loans	1,245	-
Shareholder loan notes	-	-
	1,245	-
Creditors falling due after more than one year		
Secured bank loans	24,815	-
Dunedin loan notes	44,911	-
Management loan notes	14,806	13,394
Management preference shares	1,347	1,347
	85,879	14,741

Notes (continued)

17 Interest bearing loans and borrowings (continued)

Terms and debt repayment schedule

Group	Currency	Nominal interest rate	Year of maturity	Repayment schedule	2017 £000
Lloyds loan	GBP	4.5-5%	2021-2022	Instalments	19,219
Beechbrook loan	EURO	12%	2023	At maturity	6,841
Dunedin loan notes	GBP	8%	2023	At maturity	44,911
Management loan notes	GBP	8%	2023	At maturity	14,806
Management preference shares	GBP	8%	2023	At maturity	1,347
					87,124

As at 31 March 2017, Alpha FMC Bidco Limited has a Mezzanine Facility of £7,317,000 with Beechbrook Capital LLP. The loan is repayable in full on 3 February 2023 or earlier upon the sale or listing of the Group. Interest accrues at a rate of either LIBOR plus 10% per annum if the group chose to pay the interest on the interest repayment date, or at 7.5% per annum plus the PIK rate of 4.5% if they chose to capitalise the PIK element of the rate. Interest repayment dates are 31 March 2016 and every quarter thereafter. The carrying value of the capitalised loan arrangement fees held on the balance sheet in respect of this loan as at 31 March 2017 is £476,000. Capital repayable after five years totals £6,000,000, gross of capitalised loan arrangement fees held at amortised cost.

As at 31 March 2017, Alpha FMC Bidco Limited has a loan 'A' of £9,460,000 and a loan 'B' of £11,000,000, both with Lloyds Bank Plc. Loan 'A' is repayable by instalments until a final payment of £1,540,000 is due on 3 February 2021 or earlier upon the sale or listing of the Group. Loan 'B' is repayable on 3 February 2022 or earlier upon the sale or listing of the Group. Interest accrues at a rate of 4.5% and 5% respectively. Interest repayment dates are 31 March 2016 and every quarter thereafter. The carrying value of the capitalised loan arrangement fees held on the balance sheet in respect of these two loans as at 31 March 2017 is £1,241,000. Capital repayable after five years totals £11,000,000, gross of capitalised loan arrangement fees.

Alpha FMC Bidco Limited also have a revolving credit facility of £2,000,000 on which it pays interest of 4% plus LIBOR for the option to use the facility. This facility has not been drawn down as at 31 March 2017.

Dunedin loan notes

Dunedin Buyout LLP invested £41,137,000 of ordinary 'A' loan notes in Alpha FMC Midco Limited on 3 February 2016. These have a nominal value of £0.00001 and a share premium of £0.99999. These loan notes are listed on the Channel Islands Stock Exchange and are repayable in full, plus accrued interest on either 3 February 2023 or earlier upon the sale or listing of the Group. The loan notes accrue interest at 8% per annum and are unsecured. There are no recognised capitalised arrangement fees in respect of these loan notes.

Management loan notes

UK, French and US management invested £12,262,000 of ordinary 'B1', 'B2', 'C1', 'C2' and 'D' loan notes in Alpha FMC Topco Limited on 3 February 2016. These have a nominal value of £0.00001 and a share premium of £0.99999. These loan notes are repayable in full, plus accrued interest on either 3 February 2023 or earlier upon the sale or listing of the Group. The loan notes accrue interest at 8% per annum and are unsecured. There are no recognised capitalised arrangement fees in respect of these loan notes. Management also invested £1,338,000 of 'A' ordinary shares in Alpha FMC Midco Limited, to which the same details apply.

Preference shares

On 3 February 2016 management invested £1,322,000 of preference shares in Alpha FMC Topco Limited. These have a nominal value of £0.000005 and a share premium of £0.999995. These loan notes are repayable in full, plus accrued interest on either 3 February 2023 or earlier upon the sale or listing of the Group. The preference shares accrue interest at 8% per annum and are unsecured. The movement since acquisition is the result of interest accrued for the period of £120,000 partially offset by a £95,000 settlement of the preference shares in respect of two individuals. There are no recognised capitalised arrangement fees in respect of these loan notes.

Notes (continued)

18 Deferred tax assets and liabilities

Deferred tax assets and liabilities are attributable to the following:

Group	Assets 2017 £000	Liabilities 2017 £000	Net 2017 £000
Accelerated capital allowances	-	-	-
Arising on business combinations	-	3,946	3,946
Other	-	-	-
Net tax liabilities	-	3,946	3,946

In addition to the deferred tax asset above, the Group has no additional unrecognised gross tax losses. The deferred tax is recognised at 17% being the rate at which it is expected to unwind in the future.

19 Capital and reserves

<i>Allotted, called up and fully paid</i> Class	Number	Voting rights	2017 Nominal value £	2017 Share premium £
Ordinary 'A' £0.00001 shares	58,898	1 vote per share capped at 55%	0.58	58,879
Ordinary 'B1' £0.00001 shares	9,564	None	0.09	9,564
Ordinary 'B2' £0.00001 shares	7,120	None	0.07	7,120
Ordinary 'C1' £0.00001 shares	5,390	None	0.05	5,390
Ordinary 'C2' £0.00001 shares	5,155	None	0.05	5,155
Ordinary 'A' £0.00001 shares	9	5% for each share	0.90	9
			1.74	86,117

All shares rank equally.

Share premium account

The balance classified as share premium relates to the aggregate net proceeds less nominal value of shares on issue of the Company's equity share capital.

Dividends

After the balance sheet date no dividends were proposed by the directors.

Notes (continued)

20 Financial instruments

(a) Carrying amount of financial instruments

The carrying amounts of the financial assets and liabilities include:

	2017 £000
Assets measured at amortised cost	17,467
Liabilities measured at amortised cost	(88,458)

The book value of the financial instruments is deemed to be approximate to fair value.

21 Operating leases

Non-cancellable operating lease rentals are payable as follows:

	Group 2017 £000	Company 2017 £000
Less than one year	498	-
Between one and five years	1,377	-
More than five years	891	-
	2,766	-

During the period £642,000 was recognised as an expense in the profit and loss account in respect of operating leases.

22 Related parties

Group

Identity of related parties with which the Group has transacted

During the period, an amount of £20,000 was charged to the company by Mr T Trotter, a director of the company, for consultancy services.

Management and Dunedin loan notes are disclosed in note 17, as are preference shares.

Transactions with key management personnel

Total compensation of key management personnel (including the directors) in the period amounted to £6,957,000.

Company

Identity of related parties with which the Company has transacted

There were no related party transactions during the period apart from the management loan notes disclosed in note 17.

23 Ultimate parent company and parent company of larger group

The ultimate controlling party is Dunedin LLP, the private equity house.

Notes *(continued)*

24 Accounting estimates and judgements

Key sources of estimation uncertainty

The key estimates made by management are detailed below:

Goodwill

The Group has capitalised goodwill of £47,261,000 at 31 March 2017. Goodwill is required to be tested for impairment at least annually or more frequently if changes in circumstances or the occurrence of events indicate that potential impairment exists. The group uses the present value of cash flows to determine the implied fair value. No impairment has resulted from the annual impairment test. The key sensitivities were growth rate and discount rate and the group is treated as one CGU.